

when you can do all the work yourself—that is, only if you have a massive amount of time!

If you find a mistake on your credit report, you can contact the credit bureau and dispute it. Under the Fair Credit Reporting Act, it legally has to investigate the issue, usually within thirty days. Websites like [FTC.gov](https://www.ftc.gov) have information about how to correct errors, including a sample dispute letter. Some bureaus accept online disputes; others you have to mail in. (What year is it?) You'll need documentation supporting your claim.

Knowing what exactly determines your credit score can help you figure out how to improve it. FICO, one of the reliable credit score companies that uses past information to predict financial behavior, has an online pie chart outlining the key factors:

- 1. PAYMENT HISTORY.** This makes up 35 percent of your score. Paying your credit card bill on time consistently is key because it says a lot about your ability to pay in the future.
- 2. AMOUNTS OWED.** This makes up 30 percent. Keep your balances low even if you pay off the minimum. People who constantly reach or exceed their credit limit are seen as a risk.
- 3. LENGTH OF CREDIT HISTORY.** This makes up 15 percent. It shows you have a lot of experience in the credit world, which means you're less of a risk. (Is this risk theme coming through?) And credit scores change monthly so scores can go up all the time. Don't lose hope if yours is low.
- 4. TYPES OF CREDIT USED.** This makes up 10 percent. Do you have credit cards or loans? If you have credit but not credit cards, this could have a negative impact on your score because you haven't proven to lenders that you can use credit cards responsibly.
- 5. NEW CREDIT.** This makes up 10 percent. This reflects how often you open new credit accounts and how often you inquire about your score. This shortens the length of each credit history (since they're all so new